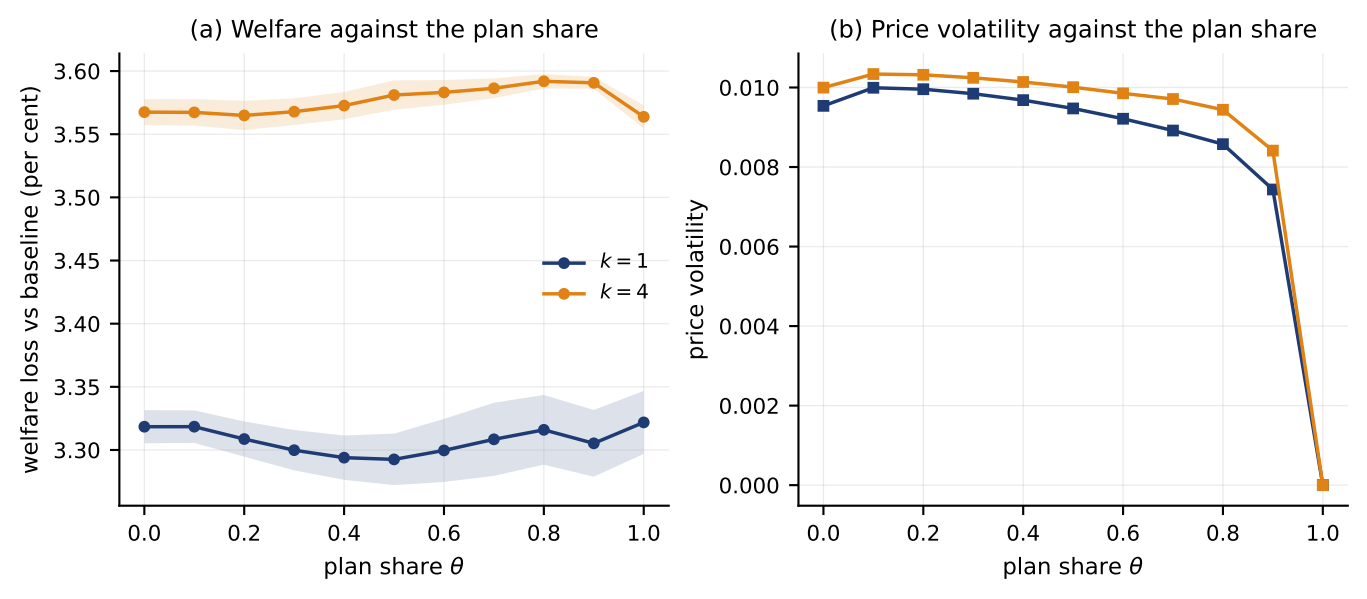
(a) Welfare against the plan share
welfare loss vs baseline (per cent)
3.60
3.55
3.50
3.45
3.40
3.35
3.30
$k = 1$
$k = 4$
0.0
0.2
0.4
0.6
0.8
1.0
plan share θ
(b) Price volatility against the plan share
price volatility
0.010
0.008
0.006
0.004
0.002
0.000
0.0
0.2
0.4
0.6
0.8
1.0
plan share θ